Save91 / SaveMore

Working name, to be finalised

Online-first business case

The company on the founders' inputs of 24 October: one main case, what is still uncertain, and what it would take.

₹143 · ₹173

Cross-selling alone (loans and cards) brings ₹143 per saver in 5 years and ₹173 in 8: 0.29× and 0.35× of the ₹495 it costs to win a saver, before serving, and less than the ₹190 / ₹225 it costs to serve them (−0.10× after serving). Insurance, recharge, bills, FD and NPS are not counted.

0.75× · 1.32×

LTV/CAC with fund fees, 5 and 8 years: what a saver brings in over 5 or 8 years, less the cost of serving them, divided by what it costs to win them. A saver pays back in month 75.

Not by year 8

for the company's EBITDA to turn positive in the main case; it needs at least $9.3M, still rising at month 96

2× → month 68

what it takes: ₹161 a day, 41% still saving and loans most of the way to our old targets, for profit on $5.1M

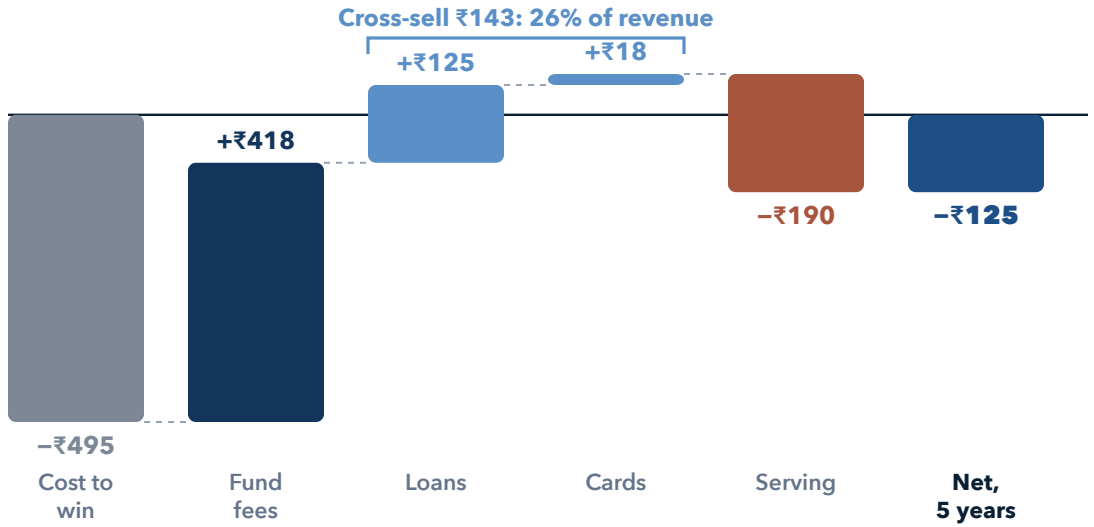
To confirm in writing. Assumes debits cost us ₹0 and a 0.75% equity fund fee, both still to be confirmed in writing: ₹2 a weekly debit would cut a saver to about 0.39×, a 0.5% fee to about 0.49×.

Cost to win: ₹450 at scale (the founders' figure; they call it 'fairly sorted') plus the 10% contingency = ₹495. The seed budgets ₹600 while the brand is new, and measures it. Online savers at ₹100 a day and 1 in 10 from a doorstep pilot. Funds are bought in the saver's own name; the app never holds money.

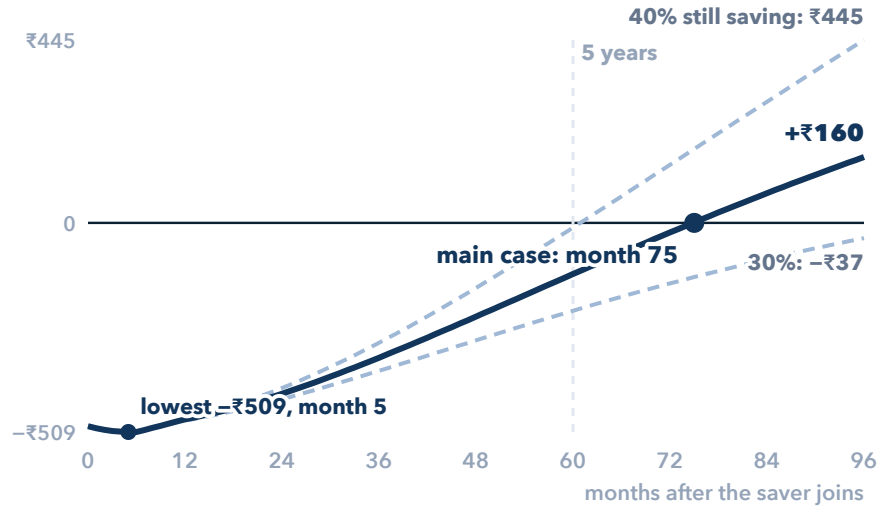
LTV / CAC, THE MAIN CASE

A saver won online costs ₹495 and returns ₹370 over five years in the main case: 0.75× LTV/CAC, paid back in month 75

ONE ONLINE SAVER WON, FIRST 5 YEARS (₹)



WHEN IT PAYS BACK: CUMULATIVE ₹ PER SAVER WON



0.75× in 5 years, 1.32× in 8

LTV/CAC: what a saver brings in over 5 or 8 years, less the cost of serving them, divided by what it costs to win them (₹495). Undiscounted.

Cross-selling doesn't cover serving

Loans ₹125 and cards ₹18 bring ₹143, less than the ₹190 of serving: 0.29× of the cost to win before serving, −0.10× after. Fund fees bring the rest.

Retention is the swing

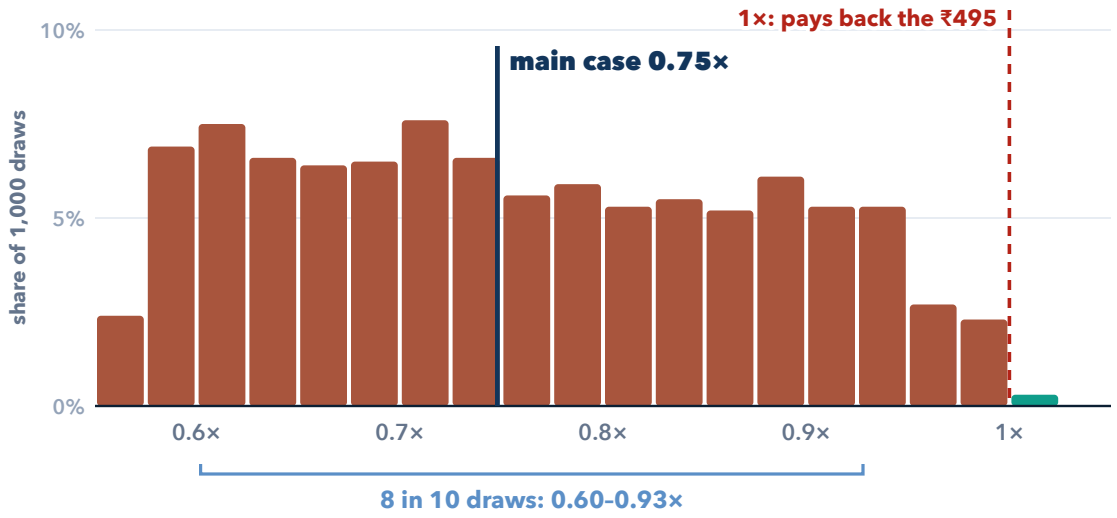
At 30% still saving a year the saver returns 0.57× and does not pay back by year 8; at 40%, 0.98×, paid back in month 61.

Main case: the Monte Carlo median (35%, then 2.0% stop a month still saving after a year, a 0.22% debt fund fee). ₹100 a day; 80/20 equity and debt funds. Serving = ₹5 support a month per saver still saving and ₹4 tech for each of the 1.06 people reached (KYC'd: finished the identity check), plus the 10% contingency; debits ₹0. Cost to win ₹450 + 10% = ₹495; at ₹600 (₹660 with the contingency) a saver is about 0.56× / 0.99× and the company needs $12.0M+. Not in this view: the company's fixed costs (team, office, brand).

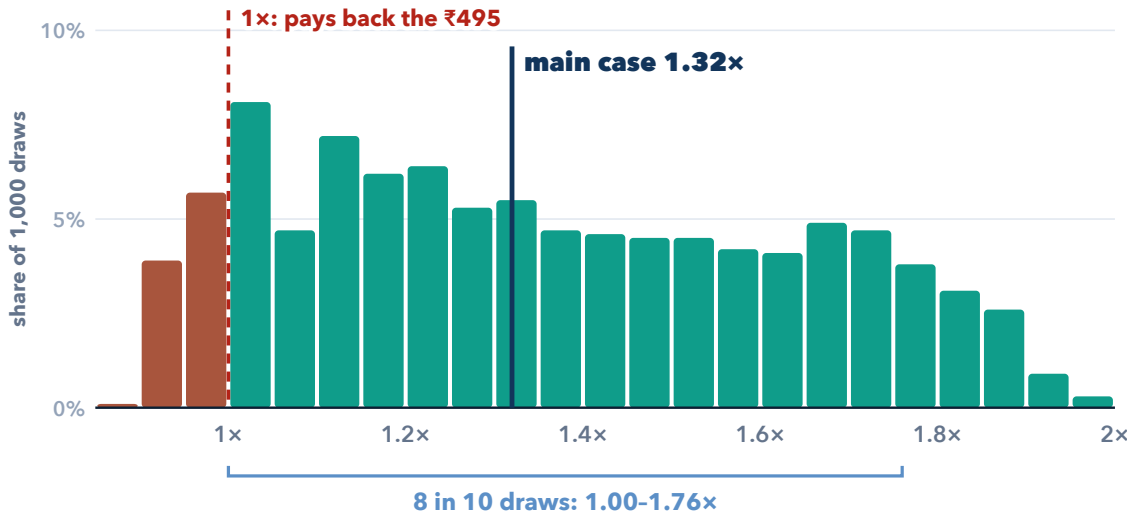
WHAT'S UNCERTAIN

What's still uncertain is mostly how long savers keep saving: 0.60–0.93× at 5 years, 1.00–1.76× at 8 (8 in 10 draws)

AFTER 5 YEARS — **0.3% of the draws reach 1×**



AFTER 8 YEARS — **90% reach 1×**



Two inputs are still uncertain

Still saving at 12 months (Bachatt's 30–40%) and the debt fund's fee (0.10–0.35%). Everything else is fixed by the founders: market figures, Bachatt, or our judgement.

Retention decides it

At 30% still saving the median is 0.57×; at 40%, 0.98×. The debt fund's fee moves it only from 0.72× to 0.79×. In 8 in 10 draws a saver pays back from month 64 to not by month 96.

The company, in every draw

EBITDA is not positive by month 96 in any of the 1,000 draws. 8 in 10 draws need $8.8M+ to $9.8M+: the company is still losing money at month 96.

The Monte Carlo: we ran the model 1,000 times, picking retention and the debt fund's fee at random within their ranges. 0.3% of the 1,000 draws reach 1× in 5 years, holding everything else at the main case (cost to win ₹495). The main case is the median draw; 8 in 10 draws fall between the 10th and 90th percentiles. Undiscounted.

WHAT IT TAKES: THE COMPANY AT EACH LTV/CAC

What it takes: 2× needs ₹161 a day and 41% still saving, with loans most of the way to our old targets, for profit from month 68; 3× needs ₹194 a day and 44%

LTV/CAC, 5 YEARS	₹ A DAY	STILL SAVING	APPLY A YEAR	APPROVED	YEARLY RISES	8 YEARS	EBITDA POSITIVE	MONEY NEEDED
0.75× 0.57–0.98× at 30–40% still saving	₹100	35% (30–40%)	20%	20%	none	1.32×	not by month 96 $8.7M+ to $9.9M+ at 40–30%	$9.3M+
1.00×	₹115	36%	22%	22%	+0.8% / +1.5%	1.79×	not by month 96	$8.1M+
2.00×	₹161	41%	29%	26%	+3.1% / +6.1%	3.79×	month 68	$5.1M
3.00×	₹194	44%	34%	29%	+4.7% / +9.4%	5.99×	month 55	$4.0M

One company, one main case

Every row is the same company: 20,000 online savers a month from month 30, the same team and cost to win. The rows say what would have to be true, not a second plan.

Five levers move together

From the main case towards the upside: ₹100 → ₹200 a day, still saving → 45%, applying 20% → 35%, approval 20% → 30%, yearly rises none → +5% / +10%. Teal: a lever above the main case.

Every lever at its upside

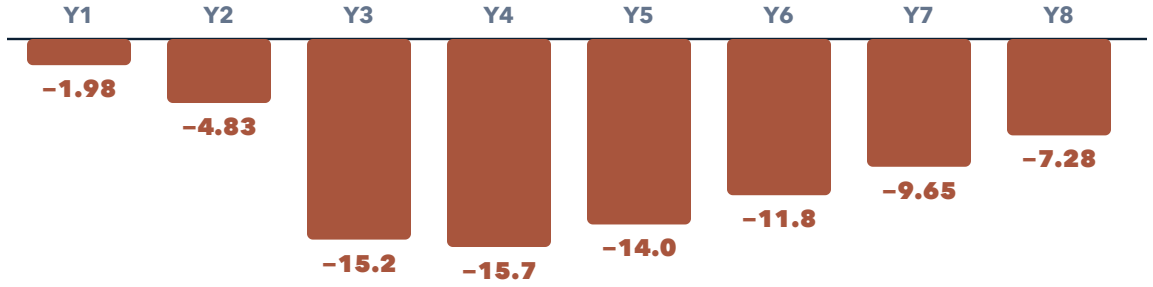
3.20×: the company turns positive in month 54 on $3.9M.

Band: the main case with still saving anywhere in Bachatt's 30–40%, every other input held. EBITDA: operating profit before interest, tax and depreciation. Money needed = the seed + the deepest cash hole (fees arrive 2 months after they are earned) + a ₹5 crore cash buffer, at ₹95 = $1; + means the company is still losing money at month 96, so it needs at least this (if run on, the cash hole bottoms around year 12 at about $10.6M). Doorstep savers (1 in 10) carry the same levers. Undiscounted.

THE COMPANY, YEAR BY YEAR

The main case: EBITDA is still −₹7.28 Cr in year 8, so it is not positive by month 96; the company needs at least $9.3M, and 8 years add up to −₹80 Cr

EBITDA (OPERATING PROFIT) BY YEAR, ₹ CRORE



Not by month 96
EBITDA is still −₹7.28 Cr in year 8: the company does not turn profitable within 8 years.

At least $9.3M
money needed in all, seed included; still rising at month 96 (if run on, it bottoms around year 12 at about $10.6M).

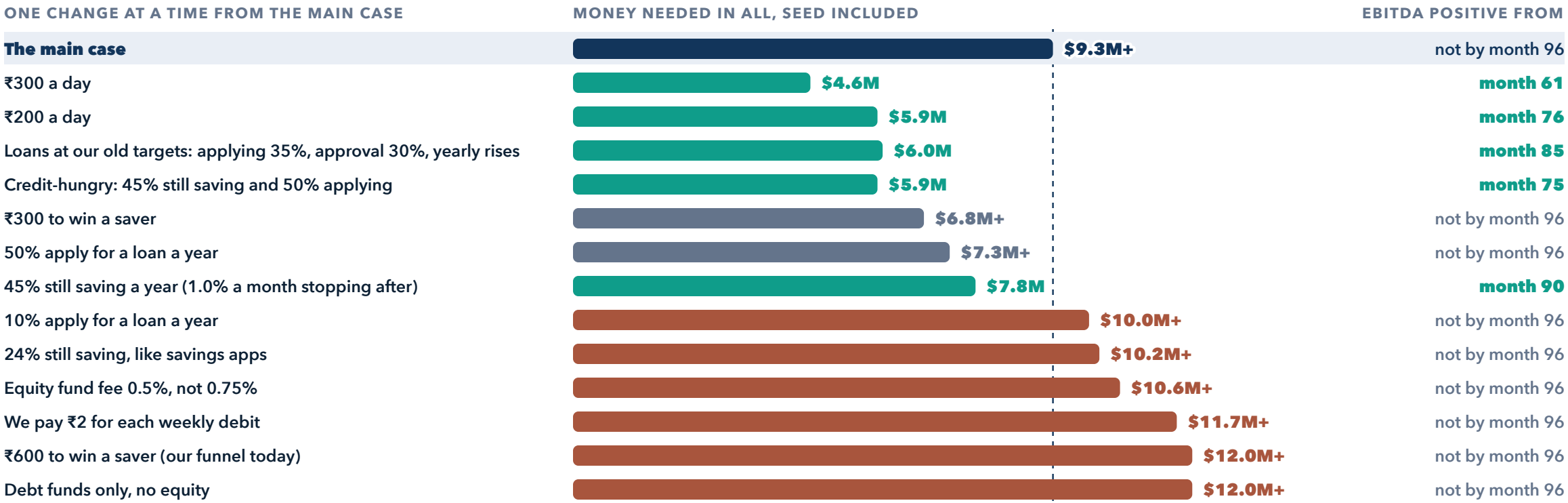
−₹80 Cr
EBITDA added up over 8 years, undiscounted.

	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8
Active savers at year end, lakh	0.10	0.48	1.88	2.76	3.44	3.97	4.39	4.71
Revenue, ₹ Cr	**0.04**	**0.28**	**1.74**	**4.61**	**7.78**	**11.2**	**14.7**	**18.0**
fund fees	0.02	0.13	0.81	2.55	4.99	7.85	10.8	13.8
loans (all lenders)	0.02	0.11	0.66	1.58	2.30	2.88	3.35	3.72
cards	0.01	0.04	0.27	0.48	0.48	0.48	0.48	0.48
Cost to win savers, ₹ Cr	−0.76	−2.53	−10.8	−11.9	−11.9	−11.9	−11.9	−11.9
Team, ₹ Cr	−0.42	−1.06	−2.15	−2.79	−3.24	−3.66	−4.30	−4.75
Other costs, ₹ Cr	−0.85	−1.52	−3.98	−5.61	−6.63	−7.44	−8.11	−8.62
EBITDA, ₹ Cr	**−1.98**	**−4.83**	**−15.2**	**−15.7**	**−14.0**	**−11.8**	**−9.65**	**−7.28**
Cumulative EBITDA, ₹ Cr	−1.98	−6.81	−22.0	−37.7	−51.7	−63.5	−73.1	−80.4

20,000 online savers a month from month 30 after the seed, 1 in 10 from the doorstep; cost to win ₹600 in the seed and ₹450 after. EBITDA: operating profit before interest, tax and depreciation. Loans: personal and business loans plus other lenders' gold, property, home, durable and vehicle loans. Other costs: tech, payments, support, office, compliance, brand and the 10% contingency. Money needed = the seed + the deepest cash hole (fees arrive 2 months after they are earned) + a ₹5 crore cash buffer, at ₹95 = $1; + means the company is still losing money at month 96, so it needs at least this (if run on, the cash hole bottoms around year 12 at about $10.6M).

THE COMPANY'S LEVERS, ONE AT A TIME

Five single changes bring profit by month 96; a ₹2 weekly debit or a 0.5% fund fee would push the money needed to $11.7M+ or $10.6M+



Each row changes one input of the main case, everything else held; the company as on the company page. 45% and 24% still saving and credit-hungry savers use one retention line (the drop-off after a year moves with it). Teal: profit by month 96; brick: more money than the main case. Money needed = the seed + the deepest cash hole (fees arrive 2 months after they are earned) + a ₹5 crore cash buffer, at ₹95 = $1; + means the company is still losing money at month 96, so it needs at least this (if run on, the cash hole bottoms around year 12 at about $10.6M).

FOUR FACTS NOW, THEN THE SEED

Four facts we can ask for now decide most of the answer; the $0.5M seed then measures our own savers, loan funnel and cost to win

1

Bachatt's average daily amount

Ask Bachatt for the average, not the minimum. ₹100 is our product's floor; Bachatt's own minimums are lower (₹51/₹101 a day; ₹20 for its liquid fund).

₹100: 0.75× · ₹130: 1.00× · ₹200: 1.59×

Company: ₹200 a day gives profit from month 76 on $5.9M.

2

Bachatt's exact share still saving at 12 months

Ask Bachatt for its 12-month cohort curve; it has told us 30–40%.

30%: 0.57× · 35%: 0.75× · 40%: 0.98×

40.5% alone gives 1×; 45% (1.0% a month stopping after) needs $7.8M.

3

Debits at ₹0 to us, in writing

BSE StAR MF and the fund houses: a daily ₹100 debit on one mandate, at no cost to us.

₹2 a weekly debit: 0.39× · ₹0: 0.75×

Company: paying ₹2 a weekly debit raises the money needed to $11.7M+.

4

The fee on the fund the ₹100 goes into, in writing

0.64% blended or better: 80% equity at 0.75%, 20% debt at ~0.22%. Daily minimums are ~₹100 a scheme, so one hybrid fund must pay about 0.64% or more.

0.5% on equity: 0.49× · 0.64%: 0.75×

Company: at 0.5% on equity the money needed is $10.6M+.

THEN THE SEED MEASURES OUR OWN SAVERS

$0.5M

the seed: build, licences, a lean team, the doorstep pilot

1 lakh

sign-ups in months 4–18: our own retention curve, loan opt-in and approvals, and the cost to win

Months 16–18

12 months of data on the first savers; raise the next round (the seed budget runs to month 24 if it is late)

$8.8M+

the next round in the main case ($9.3M+ in all, less the seed); about $4.6M at 2× ($5.1M in all)

Each fact: one saver's 5-year LTV/CAC either way, from the main case; retention is the Monte Carlo median with still saving pinned at 30%, then 40%. Next round: money needed in all, less the $0.5M seed. The seed plan, a separate document, has the team and the use of funds.

ASSUMPTIONS

Every input of the main case, and where it comes from

INPUT	VALUE	BASIS
Online saver	₹100 a day, ~20 debit days a month; 80% still saving at month 3; 30–40% at a year (main case 35%), the drop-off after a year moving with it, 2.5%–1.5% a month (main case 2.0%)	₹100 is our product's floor; Bachatt's average is unknown, and its own minimums are lower (₹51/₹101 a day; ₹20 for its liquid fund). Retention is Bachatt's own range, drawn; SBI MF's ₹250 daily SIP keeps about 38% at 12 months. 45% still saving means 1.0% a month stopping after, the same line
Doorstep saver	Same product; 80% still saving at month 3, 55% at a year; 100 sign-ups per agent a month	Agreed street inputs; the agent sets the mandate at sign-up. All-in cost ₹405 a saver at scale (₹446 with our contingency)
Funds	80% equity SIP / 20% debt; returns 10% / 7% a year; our fee 0.75% of the equity balance and 0.10–0.35% of the debt balance (main case 0.22%), 0.64% blended	Fund-house disclosures; the 0.75% on active equity funds is still to be confirmed in writing. If the ₹100 goes into one hybrid fund (daily minimums are ~₹100 a scheme), its fee to us must be about 0.64% or more
Cost to win a saver	₹600 during the seed, ₹450 after, plus our 10% contingency (₹495); held fixed	₹450 at scale (the founders' figure; they call it 'fairly sorted') plus the 10% contingency = ₹495. The seed budgets ₹600 while the brand is new, and measures it. At ₹600 after the seed the company needs $12.0M+
Loans	Offers to KYC'd users from day 1 (about 2.5 per saver; non-savers fade within ~3 months, so 1.06 in value); 20% apply a year (70% personal or business, 15% gold, 3% property, 2% home); 20% of first personal or business loans approved (gold 70%, home and property 45%), 70% of repeats; no yearly rises; first loan ₹70k, repeats 10% bigger a year, top-ups 15% a year at 40%; lender payout 2% flat; home ₹12 lakh, property ₹5 lakh	Founders, 24 Oct: ₹70k is Bachatt's number (our research had ₹15k–58.5k); 20% approval is the founders' market figure, between 11% (an app lender's new applicants) and 25% (our own past data); payouts 1–3%; affordable home loans ₹6–15 lakh, small property loans about ₹3.9 lakh. We refer; the lender lends
Other products	Cards: 3% of savers still saving at month 7 take one, ₹1,000 a card; small loans outside the apply funnel: durables (₹20k) and two-wheelers	Not counted: insurance (a fixed referral fee, to be agreed), recharge, bills, FD and NPS (not in the launch app), loans against savings (10% of applications)
Serving	₹5 support a month per saver still saving; ₹4 tech a month for each of the 1.06 people reached; plus the 10% contingency; daily debits ₹0 to us	BSE StAR MF's exchange SIP is free to distributors and fund houses pay BSE; ₹0 is still to be confirmed in writing (₹2 a weekly debit: $11.7M+ needed)
Team	Seed: 2 founders at $1,000 a month + 3 hires. After the round: founders ₹1.5L, hires by active savers	Seed plan; agreed salary inputs, +10% statutory, +7% a year
Other costs	Tech ₹1.5L a month; office; compliance ₹25L a year after the round; brand ₹2L a month; 10% contingency on every cost	Agreed inputs and the agreed 10% contingency; the ₹25L compliance is our estimate
Growth limit	At most 20% of about 7 crore urban self-employed ever signed	PLFS shares (agreed pool) and the agreed 20% cap
Not counted	Interest on cash; any lending on our own book; a saver who stops withdraws everything, so their fund fees stop	Conservative by design

SIP: a regular instalment into a mutual fund; mandate: the saver's standing instruction to their bank to pay the daily amount; KYC'd: finished the identity check.